TEACHER GUIDE

Pearson Edexcel International Advanced Level in Business (XBS11 / YBS11)

Shareholders, stakeholders and business ethics



Unit 3: Business decisions and strategy

3.3.4 Influences on business decisions: shareholders versus stakeholders, business ethics

A revision lesson. Pupils run a car dealership in firms of four and revise shareholders, stakeholders and business ethics on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

1 Which view of firm

Round 1

The board cuts staff training to pay a higher dividend this year.

Which view of the firm does this follow?

- **A** Paternalistic management
- **B** The shareholder view
- **C** Corporate social responsibility
- **D** The stakeholder view

ANSWER

✓ **The shareholder view**

Why: Putting the owners' return above other groups is the shareholder view.

2 Benefits of CSR

Round 1

Your firm pays for road-safety lessons in local schools, though no law asks it to.

Which two benefits are most likely?

- **A** Fewer laws to follow
- **B** A better local reputation
- **C** Lower costs this year
- **D** Higher profit this year
- **E** Easier to recruit staff

ANSWER

✓ **A better local reputation**
✓ **Easier to recruit staff**

Why: CSR costs money now, but wins goodwill with buyers and job seekers.

3 Dividend share

Round 2

Three firms: profit for the year, and the dividends paid.

Order by share of profit paid out, lowest first?

- **A** Profit £150,000, dividends £15,000
- **B** Profit £80,000, dividends £40,000
- **C** Profit £200,000, dividends £50,000

ANSWER

1. **Profit £150,000, dividends £15,000**
2. **Profit £200,000, dividends £50,000**
3. **Profit £80,000, dividends £40,000**

Why: 10%, 25%, 50%: the rest is kept to invest in the firm.

Topic tasks

4 CSR and profit

Round 2

Road-safety lessons in local schools.

Effect on profit? Minus allowed.

Cost of the lessons, a year	**£9,000**
Extra sales from goodwill	**6 cars**
Contribution per car	**£1,900**

ANSWER

£2,400

6 × £1,900 − £9,000 = £2,400

Why: CSR costs money now; goodwill must bring sales to pay for it.

5 Does green pay?

Round 3

A green valeting firm costs £4,500 more a year and wins 4 extra sales, £900 contribution each.

Which choice raises profit on these figures, and why?

A Switch to the green firm

B Keep the current firm

ANSWER

✔ **Keep the current firm**

Why: 4 × £900 = £3,600, under the £4,500 extra cost: on these figures it loses £900 a year.

6 Treat the residents

Round 3

Residents who care about traffic from your new showroom win the council's support.

How should you now treat the residents?

A Consult them closely

B Wait for the council to decide

C Ignore them: they have no say

D Send them a newsletter

ANSWER

✔ **Consult them closely**

Why: Their interest was high; with the council behind them their power is too.

Final questions

Each pupil answers 6 final questions on shareholders, stakeholders and business ethics. They come from these 11 questions.

Then each pupil writes one short answer: “Evaluate whether CSR raises your firm’s long-run profit.”

1 A legal finance promotion is likely to be misunderstood by vulnerable customers. Which response best supports responsible long-term performance?
✔ **Test understanding, show total cost and risks, fix bad incentives**

2 A dealer learns that a contractor manipulated mileage records. Which board response best protects long-term value?
✔ **Stop affected sales and investigate independently**

3 Customer finance documents are exposed online. Which action is least defensible?
✔ **Suppress evidence so the firm can delay informing affected people**

4 A brake fault means a dealer must recall every car of one model it sold. Apart from owners, which stakeholder is most affected?
✔ **Workshop staff: weeks of unplanned recall work displacing jobs**

5 A dealer group says it takes a stakeholder approach rather than a shareholder approach. Which statement says what that distinction means?
✔ **Stakeholder: weigh every affected group; shareholder: owners’ return first**

6 A dealer group plans to close a loss-making rural branch. Which two stakeholders are most likely to conflict over it?
✔ **Shareholders and local employees**

7 A dealer could pay a bigger dividend or fit solar panels that only pay back in nine years. Which argument supports the panels?
✔ **Lower long-run costs and a better reputation**

8 Which of these is an external stakeholder of a dealership?
✔ **The local community near the site**

9 A dealer group plans to move a town-centre showroom to a cheaper out-of-town site. Which stakeholder conflict is most likely?
✔ **Shareholders gain from lower costs; local staff may lose jobs**

10 A dealer pays for free electric-vehicle charging points for its town, although this cuts short-term profit. What does this decision best show?
✔ **Corporate social responsibility**

Final questions

11 A dealer group’s board weighs the interests of staff, customers and the local community, not only its owners, when it decides. Which approach is this?

✔ **A stakeholder approach**